

EXERCISE 1: ABSORPTION COSTING AND VARIABLE COSTING

The firm has no beginning inventory balance. It has budgeted to produce 1,200 units and sell 1,000 units in the coming year. The selling price is \$30 per unit.

Total manufacturing overheads are allocated based on units produced.

Cost budgeted during the year	Budget
Direct materials & labour	\$18,000
Variable manufacturing overheads	\$4,800
Fixed manufacturing overheads	\$2,400
Variable selling expenses (\$6 per unit sold)	\$6,000

- 1. Determine the budgeted unit product cost,**
 - a. under Absorption costing?**
 - b. under Variable costing?**
- 2. Produce the budgeted AC income statement and VC income statement.**
- 3. Reconcile the difference in net operating income between AC and VC.**

The year has passed, producing 1,300 and selling 1,100 units. Actual selling price was \$30 per unit.

Cost incurred during the year	Budget (given in Ex. 1)	Actual
Direct materials & labour	\$18,000	\$20,800
Variable manufacturing overheads	\$4,800	\$5,200
Fixed manufacturing overheads	\$2,400	\$2,400
Variable selling expenses	\$6,000	\$6,500

- 1. Determine the unit product cost?**
- 2. What is the cost of goods manufactured?**
- 3. Produce the absorption costing income statement.**

Admin dept cost is allocated based on number of contracts, while HR dept cost is allocated based on number of employees. Priority of allocation: HR, followed by Admin.

	Admin	HR	Bottle	Can
Overhead costs	\$87,500	\$75,000	\$550,000	\$450,000
Number of contracts	30	25	80	120
Number of employees	25	10	45	55